

Lumps, bumps and technology waves

#australia

#luciellis

#rba

#inflation

#labour

#technology



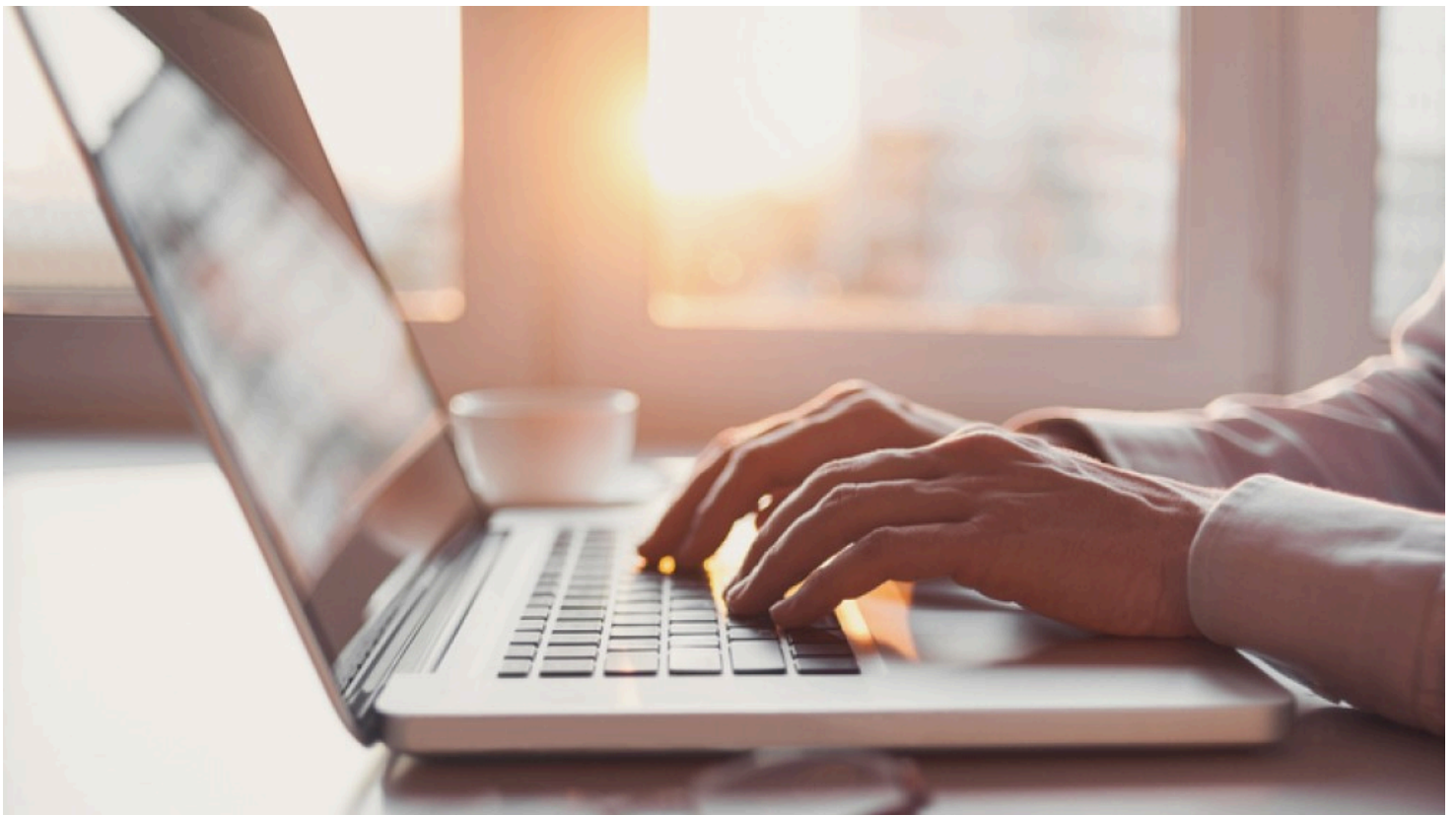
By Luci Ellis

Chief Economist Westpac Group, Westpac

11:55 June 05 2026

 Share

Lumps, bumps and other noise mean top-line data cannot always be taken at face value, but sectoral investment booms like the current one in data centres are consequential.



- This week's national accounts highlight that top-line data should not be taken at face value. Many outcomes are just the lumps and bumps of special factors, not an underlying trend. Weather events and other abnormal seasonal movements are good examples of these bumps. The combination of

bumps we saw this quarter imply that GDP was a reasonable read of the underlying trend, but exports and productivity growth were not.

- Sometimes, though, a special factor is more than just a bump. Sectoral shocks and the investment booms that typically flow from them cannot be simply subsumed into a top-down view of the economy.
- Fundamental investment booms centred on a particular sector, including the mining boom and the current data centre boom, resemble each other in some ways. They contend with other sectors for resources, which can be quite disruptive. They are largely impervious to the level of interest rates, but less so to policy settings and political backlash. And their downswing phase can be just as consequential as the boom phase. For all these reasons, the current boom in data centre construction bears close watching.

The Q1 national accounts released this week highlight two key principles for analysing macroeconomic data. First, never take top-line data, or shifts in those data, at face value. Second, macro aggregates are never just one thing. There is more than one good or service in the economy. Sectoral shocks matter, partly because they spread unevenly across the economy.

On the first principle, we see data fluctuations – mostly in exports but also in domestic transport and wholesale sectors – that have nothing to do with the underlying trend and everything to do with weather.

Cyclones are normal for the Pilbara in the first quarter of the year, but if the resulting disruption is abnormal, seasonal adjustment will not mop it up completely. This year, ports were disrupted but production was not. Mining output was accumulated as inventories instead of flowing overseas, leaving GDP largely unaffected. Exports should bounce back in coming quarters, as port infrastructure has mostly returned to full operation already. It was just a bump.

Another example of a bump that should not be construed as a trend can be seen in the national accounts' labour market detail. As Westpac Economics' colleague Pat Bustamante flagged in the [preview note](#), strong hours worked in the quarter, coupled with weak GDP growth, induced a quarterly fall in measured labour productivity. (Cue the usual hand-wringing.) A funny thing happened on the way to the Temple of Productivity Gloom, though: average earnings per hour was also weak, leaving the outcome for unit labour costs reasonably benign.

The bump here relates to the seasonal pattern of leave-taking. Shifts in this pattern affect the relationship between hours worked and hours paid. If a worker on a salary takes less leave than usual for this time of year, their hours worked is higher, but their hours paid do not change. Dividing a fixed salary by a higher number of hours mechanically reduces average earnings per hour. Labour accounts data released today confirm this shift in hours worked versus hours paid. Indeed, in the quarter this effect went beyond the residual season pattern that emerged after the pandemic and is yet to be absorbed by standard adjustment methods.

Both are examples of “bumps” that need to be recognised, and in most cases looked through.

Some special factors are more than just a bump, though. They are also examples of when a purely top-down macro level view fails. Sometimes it is reasonable to treat millions of individual decisions as a single “thing”: “the” level of output, “the” price level, “the” labour market. Other times a purely macro, one-good, “representative agent” lens is misleading. The trick is to know which moment you are in. AI will not help with that judgement.

As we highlighted in the lead-up to this week’s national accounts, Q1 really was the quarter of the data centre in Australia. Around $\frac{3}{4}$ ppts of the growth in the quarter look to be from a big increase in data centre construction and fit-out. While much of this involves imported inputs that do not add to local production (i.e. GDP) in net terms, nearly 40% was local value-add. After all, the buildings and chips do not (yet) build and install themselves.

There is an element of “bump” to this lump of investment, too. Local labour and other resources were expended in the quarter to build something that is not yet itself producing output (GDP). So there is an initial drop in measured labour productivity. Investment does rise, of course, but the build phase is more labour intensive than the output that the data centres produce once online. Short-term productivity pain, longer-term gain – and that is aside from whatever productivity boost the additional computing capacity affords to end users.

In this respect, the current data centre boom is more of a wave than a bump, bearing a considerable resemblance to the mining investment boom of the first decade and a half of the century. In this case, it is a technology wave as well as a sectoral investment boom. Waves cannot be ignored or subsumed into a top-down, homogenised view of the economy. They are fundamental drivers of outcomes for multiple years and must be analysed on their own terms. At the same time, they resemble each other in specific ways.

First, the initial build phase competes with the rest of the economy for resources, especially construction resources, and can feel quite disruptive as resources shift.

Second, a fundamental investment boom in a single sector will be largely impervious to the level of interest rates. To the extent that capacity pressures emerge in the overall economy, it will be other sectors that get squeezed by the monetary policy response. We are already seeing signs of that in household consumption and consumer-facing sectors. Indeed, household consumption is running at around 52% of the nominal economy – almost 5ppts below its pre-pandemic historical average.

Third, policy and politics matter for the shape of a wave. We are already seeing this in the backlash against data centres in the United States. While the build-out here faces challenges of ensuring enough power supply in the right places, so far, we have seen a significant build-out without material backlash or new regulatory roadblocks. Unlike the US, Australia actively tries to portray itself as an attractive destination for investment, given the tyranny of distance and the difference in local market size.

Finally, as the build phase peaks, different challenges will emerge. The downswing of the mining investment boom was an enormous drag on Australia's economic performance, even when the *level* of investment was still high. Australia is still in the early stages of the data centre ramp-up, and so it might seem premature to talk about the downswing. But since it takes a lot less time to build an individual data centre than an enormous iron ore or gas project, the ramp-up and unwind could be steeper and shorter this time around.

This is all separate from AI as a technology. At some level, the data centres and the AI services are geographically separable. There are regulatory (e.g. privacy) and network latency reasons for the compute capacity to be near the users, and thus in Australia. This does not quite explain why the scale of the pipeline of projects here seems so large relative to some other non-US countries, however. Some of the outsized contribution stems from Australia's natural endowments – abundant solar radiation and thus renewable energy. A welcoming regulatory environment and fast-growing domestic IT industry might also be part of the story. Whatever the drivers, the data centre investment boom is an aspect of the current technology wave that bears watching.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles



#australia

Australia and NZ Weekly 22 June 2026

June 22 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [10 more](#)



#australia

Australia and NZ Weekly 22 June 2026

June 19 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [10 more](#)



#australia

Melbourne Cup, World Cup, or Eurovision?

June 19 2026 • ⌚ 4 mins

By [Luci Ellis](#)

Browse topics

#aud

#australia

#interestrates

#nzd

#usd

#newzealand

#rates

#credit

#yieldcurve

#acgb

#inflation

#rba

#semigovernment

#basis

#commodities

#ustreasury

#fx

#rbnz

#jpy

#abs

Show more tags

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy](#) here, or the [Australian Group Privacy Statement](#) here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide [here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.